Annex I. Bank-Fund Debt Sustainability Analysis[1/]

The updated DSA incorporates the economic and fiscal effects of the COVID-19 pandemic, as well as the revision of Niger's national accounts in the context of the migration to SNA 2008. Real GDP growth for 2020 has been cut to 1 percent, from 6 percent, and the fiscal deficit is now headed for 5 percent of GDP, compared to 2.7 percent of GDP previously projected. The implied financing gap is assumed to be filled by financial assistance from IFIs and donors at favorable terms. The long-term economic outlook remains largely intact, as does the thrust of economic policies.

This DSA continues to rate Niger's risk of debt distress as "moderate." But the setback from the pandemic has eroded buffers and downside risks to the outlook dominate, underscoring the need to mitigate debt vulnerabilities, especially vigilance in taking on external debt, stepped-up efforts to diversify exports, and attention to fiscal risks from PPPs and SOEs. Stress tests and alternative scenarios continue to demonstrate Niger's vulnerability to commodity price and export shocks.

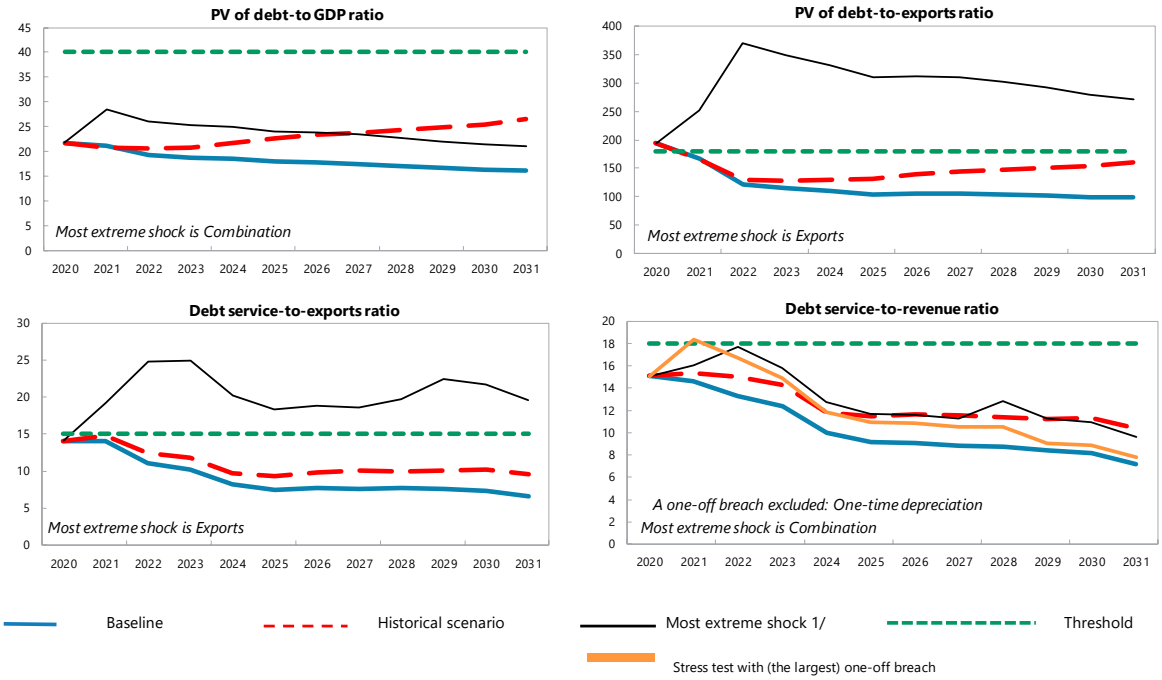
Risk of external debt distress	Moderate[1]
Overall risk of debt distress	Moderate
Granularity in the risk rating	Limited space
Application of judgment	No[2]
Macroeconomic projections	Transitory weakening of economic growth and fiscal balance due to the COVID-19 pandemic
Financing strategy	Additional financial assistance from IFIs and donors on favorable terms
Realism tools flagged	Large unexpected rise in public debt in last five years
Mechanical risk rating under the external DSA	Moderate
Mechanical risk rating under the public DSA	Moderate

[1/]The coverage of the DSA remains unchanged compared to the previous DSA of June 2019 and comprises the central government, including funds borrowed for on-lending to SOEs, and guarantees for external borrowing by the private sector. Extrabudgetary funds no lot exist. Local governments and SOEs are not covered for lack of data.

[1] Niger's debt-carrying capacity remains rated as "medium," with a composite indicator (CI) reading of 2.94 based on the October 2019 vintage of the World Economic Outlook (WEO) and the 2018 CPIA.

[2] One-time breach of the threshold for the PV of PPG external debt in 2020 due to the COVID-19 pandemic is discounted.

Figure 1. Niger: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2020–31



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	No	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	No	No
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.8%	1.8%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	26	26
Avg. grace period	6	6

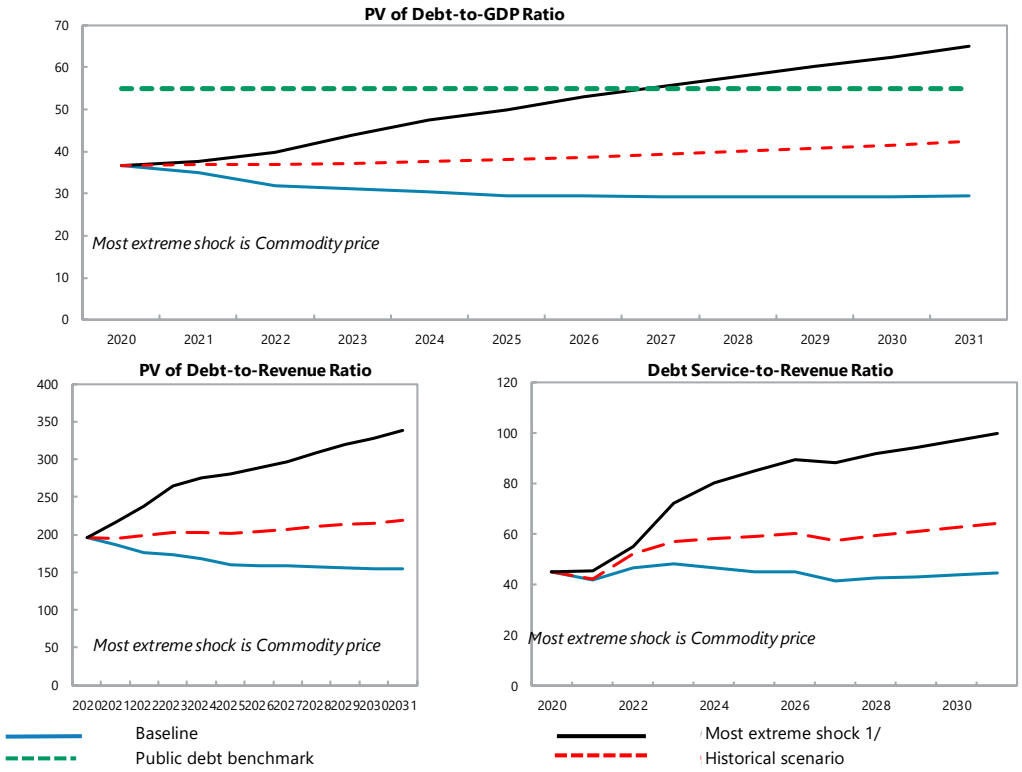
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Niger: Indicators of Public Debt Under Alternative Scenarios, 2020–31



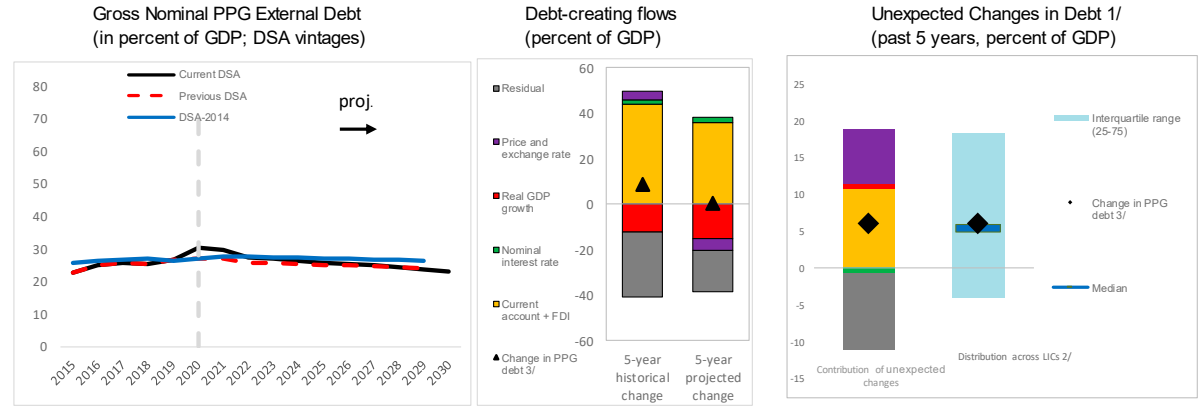
Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	29%	29%
Domestic medium and long-term	28%	28%
Domestic short-term	42%	42%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.8%	1.8%
Avg. maturity (incl. grace period)	26	26
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.4%	4.4%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	1	1
Domestic short-term debt		
Avg. real interest rate	4%	4.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

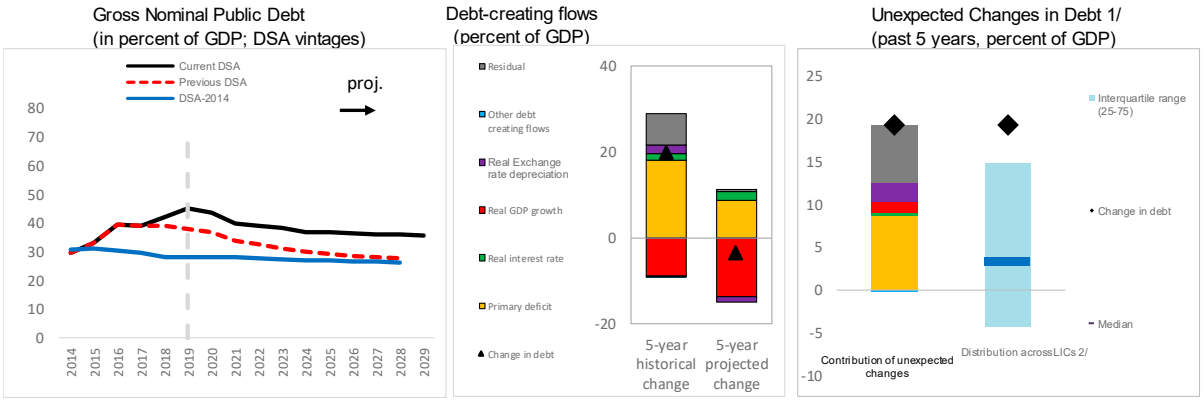
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 3. Niger: Drivers of Debt Dynamics—Baseline Scenario



Public Debt



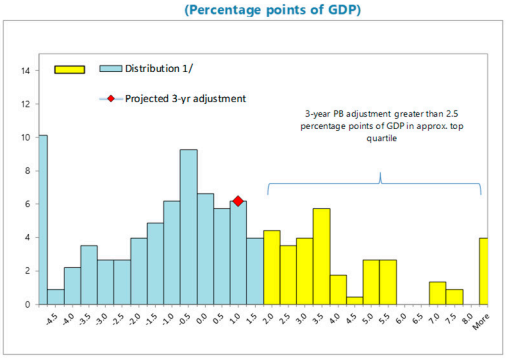
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

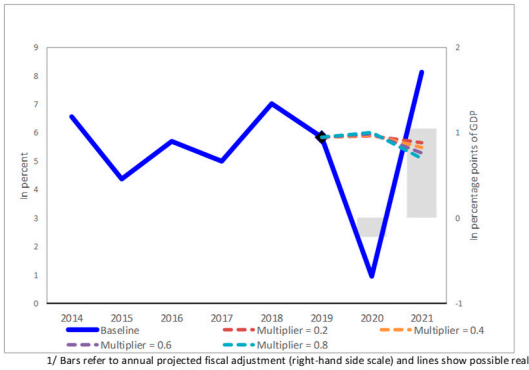
Figure 4. Niger: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



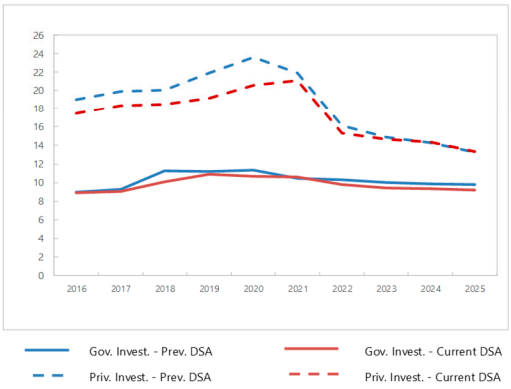
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



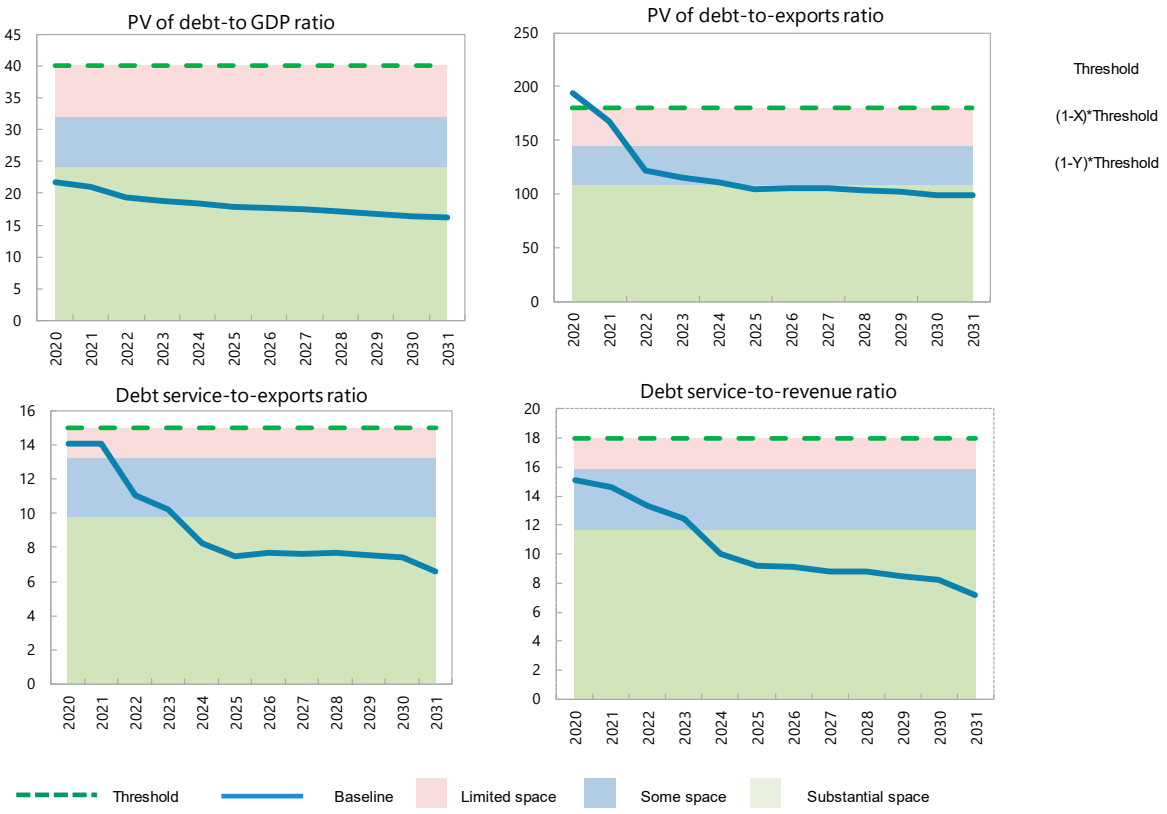
1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(% of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

Figure 5. Niger: Qualification of the Moderate Category, 2020–31[1/]



Sources: Country authorities; and staff estimates and projections.

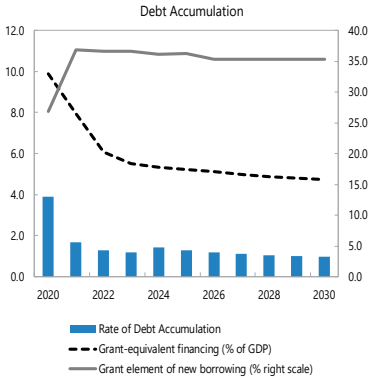
1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

Table 1. Niger: External Debt Sustainability Framework, Baseline Scenario, 2017–40

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
External debt (nominal) 1/	**47.8**	**45.6**	**48.8**	**51.1**	**48.5**	**44.0**	**42.7**	**41.2**	**39.4**	**35.2**	**30.3**	**41.9**	**41.0**
of which: public and publicly guaranteed (PPG)	**25.7**	**25.4**	**26.5**	**30.3**	**29.7**	**27.3**	**26.9**	**26.4**	**25.6**	**23.0**	**18.2**	**20.0**	**26.1**
Change in external debt	-0.5	-2.2	3.2	2.3	-2.6	-4.5	-1.3	-1.5	-1.8	-0.8	-0.4		
Identified net debt-creating flows	**4.8**	**3.1**	**8.4**	**9.6**	**5.3**	**1.6**	**3.9**	**3.0**	**2.5**	**3.3**	**7.0**	**4.7**	**4.0**
Non-interest current account deficit	**11.1**	**12.3**	**12.9**	**14.6**	**16.1**	**9.2**	**7.4**	**6.3**	**6.1**	**6.0**	**10.5**	**13.1**	**8.3**
Deficit in balance of goods and services	13.5	15.0	16.2	17.7	18.6	11.1	8.8	7.4	6.7	5.7	10.7	**15.3**	**9.2**
Exports	12.8	11.3	11.7	11.2	12.6	15.9	16.3	16.8	17.2	16.5	16.3		
Imports	26.3	26.3	28.0	28.9	31.2	27.0	25.2	24.2	23.9	22.2	27.0		
Net current transfers (negative = inflow)	-3.7	-3.8	-4.5	-4.1	-3.5	-2.9	-2.8	-2.7	-2.4	-2.1	-2.7	**-3.3**	**-2.7**
of which: official	-2.0	-2.0	-2.8	-2.3	-1.8	-1.3	-1.2	-1.2	-1.2	-1.1	-1.0		
Other current account flows (negative = net inflow)	1.3	1.1	1.1	1.0	1.0	1.0	1.3	1.6	1.8	2.4	2.5	**1.1**	**1.7**
Net FDI (negative = inflow)	**-2.8**	**-3.3**	**-4.5**	**-5.0**	**-7.6**	**-2.5**	**-1.4**	**-1.0**	**-1.0**	**-1.0**	**-2.0**	**-6.5**	**-2.2**
Endogenous debt dynamics 2/	**-3.4**	**-5.8**	**0.0**	**0.0**	**-3.2**	**-5.0**	**-2.0**	**-2.3**	**-2.6**	**-1.7**	**-1.5**		
Contribution from nominal interest rate	0.4	0.4	0.4	0.5	0.5	0.5	0.5	0.4	0.4	0.4	0.3		
Contribution from real GDP growth	-2.2	-2.9	-2.6	-0.5	-3.7	-5.5	-2.5	-2.7	-3.0	-2.1	-1.8		
Contribution from price and exchange rate changes	-1.6	-3.3	2.3	...	...	...	...	...	...	...	...		
Residual 3/	**-5.4**	**-5.3**	**-5.3**	**-7.3**	**-7.9**	**-6.2**	**-5.3**	**-4.4**	**-4.3**	**-4.1**	**-7.4**	**-2.7**	**-5.2**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**18.5**	**21.8**	**21.1**	**19.3**	**18.8**	**18.5**	**17.9**	**16.4**	**13.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**157.8**	**193.9**	**167.4**	**121.4**	**115.1**	**110.5**	**104.1**	**99.3**	**81.2**		
PPG debt service-to-exports ratio	**5.5**	**7.8**	**6.9**	**14.1**	**14.1**	**11.1**	**10.3**	**8.2**	**7.5**	**7.4**	**6.2**		
PPG debt service-to-revenue ratio	**6.7**	**7.3**	**7.2**	**15.1**	**14.6**	**13.3**	**12.4**	**10.0**	**9.2**	**8.2**	**6.3**		
Gross external financing need (Million of U.S. dollars)	1055.7	1293.1	1222.7	1523.2	1559.6	1496.0	1473.8	1366.5	1448.4	2073.9	6986.9		
Key macroeconomic assumptions													
Real GDP growth (in percent)	5.0	7.0	5.8	1.0	8.1	13.2	6.2	7.0	8.1	6.3	6.3	**6.1**	**6.7**
GDP deflator in US dollar terms (change in percent)	3.4	7.4	-4.8	1.9	3.0	2.5	2.3	2.2	2.2	2.0	2.0	**0.0**	**2.2**
Effective interest rate (percent) 4/	0.8	1.0	0.8	1.0	1.2	1.2	1.2	1.1	1.2	1.1	1.0	**0.8**	**1.1**
Growth of exports of G&S (US dollar terms, in percent)	16.2	1.5	4.6	-1.4	24.8	46.3	11.9	12.2	13.6	9.1	10.9	**4.0**	**13.0**
Growth of imports of G&S (US dollar terms, in percent)	16.2	14.8	7.3	6.5	20.1	0.3	1.4	5.0	9.4	6.9	41.8	**4.2**	**6.8**
Grant element of new public sector borrowing (in percent)	...	...	...	26.8	36.8	36.6	36.6	36.2	36.2	35.4	35.4	**...**	**35.1**
Government revenues (excluding grants, in percent of GDP)	10.5	12.1	11.2	10.5	12.2	13.2	13.5	13.8	14.1	14.9	16.2	**11.6**	**13.6**
Aid flows (in Million of US dollars) 5/	864.0	1072.2	1399.3	1437.4	1360.7	1216.1	1209.8	1276.8	1361.9	1785.6	3581.6		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	9.9	8.0	6.1	5.5	5.3	5.2	4.7	4.4	**...**	**5.9**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	68.8	77.5	75.6	74.7	74.5	76.2	77.8	79.9	**...**	**75.8**
Nominal GDP (Million of US dollars)	11,166	12,827	12,928	13,304	14,820	17,198	18,682	20,438	22,570	33,310	73,377		
Nominal dollar GDP growth	8.6	14.9	0.8	2.9	11.4	16.0	8.6	9.4	10.4	8.4	8.4	**6.1**	**9.0**
Memorandum items:													
PV of external debt 7/	...	...	40.8	42.6	39.9	35.9	34.6	33.3	31.8	28.6	25.3		
In percent of exports	...	...	347.7	378.8	317.1	226.4	211.8	198.7	184.6	173.3	155.1		
Total external debt service-to-exports ratio	9.1	10.1	9.1	16.8	16.3	12.6	11.7	8.6	7.8	7.6	6.2		
PV of PPG external debt (in Million of US dollars)			2393.8	2899.0	3124.1	3314.6	3516.0	3783.6	4050.0	5450.0	9720.2		
(PVt-PVt-1)/GDPt-1 (in percent)				3.9	1.7	1.3	1.2	1.4	1.3	1.0	0.8		
Non-interest current account deficit that stabilizes debt ratio	11.6	14.4	9.7	12.3	18.6	13.7	8.8	7.7	7.9	6.8	11.0		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes



Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

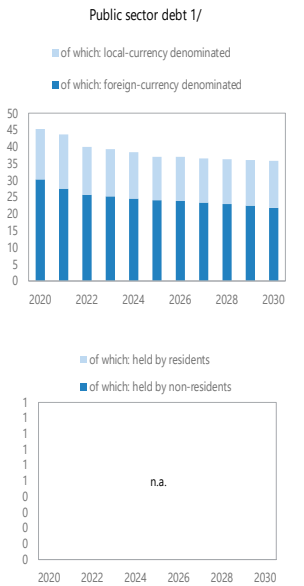
8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 2. Niger: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017–40

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
Public sector debt 1/	**39.6**	**39.0**	**42.0**	**45.4**	**43.7**	**40.1**	**39.3**	**38.3**	**37.1**	**35.9**	**35.6**	**27.4**	**38.7**
of which: external debt	**25.7**	**25.4**	**...**	**30.3**	**29.7**	**27.3**	**26.9**	**26.4**	**25.6**	**23.0**	**18.2**	**19.3**	**26.1**
Change in public sector debt	6.6	-0.6	3.0	3.4	-1.7	-3.6	-0.8	-1.0	-1.2	-0.2	-0.1		
Identified debt-creating flows	**-0.4**	**0.4**	**1.7**	**2.3**	**-1.5**	**-3.4**	**-0.6**	**-0.9**	**-1.1**	**-0.3**	**-0.3**	**2.2**	**-0.6**
Primary deficit	**3.4**	**2.1**	**2.6**	**2.8**	**1.7**	**1.4**	**1.4**	**1.4**	**1.4**	**1.4**	**1.2**	**3.0**	**1.6**
Revenue incl. grants	15.4	18.1	18.0	18.8	18.8	18.1	18.0	18.1	18.4	18.9	20.0	**16.3**	**18.5**
of which: grants	4.9	6.0	6.8	8.2	6.6	4.9	4.4	4.3	4.3	4.0	3.8		
Primary (noninterest) expenditure	18.8	20.2	20.6	21.5	20.5	19.5	19.4	19.5	19.8	20.3	21.1	**19.3**	**20.1**
Automatic debt dynamics	**-3.8**	**-1.6**	**-0.8**	**-0.5**	**-3.2**	**-4.8**	**-2.0**	**-2.3**	**-2.5**	**-1.7**	**-1.4**		
Contribution from interest rate/growth differential	-1.3	-2.5	-1.7	0.2	-3.0	-4.8	-2.0	-2.2	-2.5	-1.7	-1.4		
of which: contribution from average real interest rate	0.2	0.1	0.4	0.6	0.4	0.3	0.3	0.4	0.4	0.4	0.7		
of which: contribution from real GDP growth	-1.6	-2.6	-2.1	-0.4	-3.4	-5.1	-2.3	-2.6	-2.9	-2.1	-2.1		
Contribution from real exchange rate depreciation	-2.5	0.9	0.9	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**7.0**	**-1.0**	**1.3**	**0.4**	**-0.4**	**-0.3**	**-0.2**	**-0.2**	**-0.2**	**0.1**	**0.2**	**0.4**	**-0.1**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**34.2**	**36.7**	**35.1**	**32.0**	**31.2**	**30.3**	**29.4**	**29.2**	**30.6**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**190.1**	**195.8**	**186.9**	**176.4**	**173.8**	**167.5**	**160.5**	**154.9**	**153.3**		
Debt service-to-revenue and grants ratio 3/	**20.8**	**30.8**	**37.4**	**45.1**	**41.8**	**46.7**	**48.4**	**46.8**	**45.2**	**43.9**	**43.8**		
Gross financing need 4/	5.8	6.7	9.3	11.2	9.6	9.9	10.1	9.9	9.7	9.7	9.9		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	5.0	7.0	5.8	1.0	8.1	13.2	6.2	7.0	8.1	6.3	6.3	**6.1**	**6.7**
Average nominal interest rate on external debt (in percent)	1.4	1.6	1.3	1.6	1.7	1.7	1.6	1.6	1.6	1.6	1.7	**1.4**	**1.6**
Average real interest rate on domestic debt (in percent)	4.7	2.0	4.1	2.3	3.1	3.1	3.2	3.4	3.6	4.1	4.4	**3.1**	**3.5**
Real exchange rate depreciation (in percent, + indicates depreciation)	-10.4	3.8	3.7	...	...	...	...	...	...	...	...	**2.7**	**...**
Inflation rate (GDP deflator, in percent)	1.3	2.6	0.5	2.4	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**2.0**	**2.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	5.1	14.8	7.8	5.8	2.9	7.8	5.3	8.0	9.5	7.2	6.7	**8.6**	**6.5**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-3.2	2.6	-0.4	-0.6	3.4	5.0	2.2	2.4	2.6	1.6	1.2	**-0.3**	**2.1**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**Yes**



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus extra budgetary funds, central bank, government-guaranteed debt. Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Niger: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2020–31

	Projections 1/											
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of debt-to GDP ratio												
Baseline	22	21	19	19	19	18	18	18	17	17	16	16
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2020-2040 2/	22	21	21	21	22	23	23	24	24	25	25	26
B. Bound Tests												
B1. Real GDP growth	22	22	24	23	23	22	22	22	21	21	20	20
B2. Primary balance	22	22	21	21	21	20	20	20	20	19	19	19
B3. Exports	22	23	27	26	26	25	24	24	23	22	21	21
B4. Other flows 3/	22	25	23	23	22	21	21	21	20	20	19	18
B6. One-time 30 percent nominal depreciation	22	26	20	20	20	19	19	19	19	18	18	18
B6. Combination of B1-B5	22	28	26	25	25	24	24	23	23	22	21	21
C. Tailored Tests												
C1. Combined contingent liabilities	22	22	21	21	21	20	20	20	20	19	19	19
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	22	22	22	21	21	20	20	19	19	18	17	17
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio												
Baseline	**194**	167	121	115	110	104	106	106	103	102	99	98
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2020-2040 2/	194	165	130	127	130	132	139	144	147	151	154	161
B. Bound Tests												
B1. Real GDP growth	194	167	121	115	110	104	106	106	103	102	99	98
B2. Primary balance	194	172	131	126	123	118	120	121	119	118	115	113
B3. Exports	194	**252**	**370**	**348**	**331**	310	312	311	302	293	279	272
B4. Other flows 3/	194	**200**	147	139	133	125	126	126	122	119	114	112
B6. One-time 30 percent nominal depreciation	194	167	102	97	94	89	91	91	89	89	88	88
B6. Combination of B1-B5	194	**262**	131	**237**	**227**	214	217	216	209	206	199	197
C. Tailored Tests												
C1. Combined contingent liabilities	194	178	132	128	124	119	121	122	120	119	116	115
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	194	**205**	150	139	131	120	119	118	114	111	106	104
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio												
Baseline	14	14	11	10	8	7	8	8	8	8	7	7
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2020-2040 2/	14	15	12	12	10	9	10	10	10	10	10	10
B. Bound Tests												
B1. Real GDP growth	14	14	11	10	8	7	8	8	8	8	7	7
B2. Primary balance	14	14	11	10	8	8	8	8	8	8	8	8
B3. Exports	14	19	25	25	20	18	19	19	20	22	22	20
B4. Other flows 3/	14	14	12	11	9	8	8	8	9	9	9	8
B6. One-time 30 percent nominal depreciation	14	14	11	10	8	7	7	7	7	6	6	6
B6. Combination of B1-B5	14	18	23	20	16	15	15	15	17	15	15	13
C. Tailored Tests												
C1. Combined contingent liabilities	14	14	11	11	9	8	8	8	8	8	8	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	14	16	13	12	9	8	8	8	9	9	8	7
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio												
Baseline	15	15	13	12	10	9	9	9	9	8	8	7
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2020-2040 2/	15	15	15	14	12	11	12	12	11	11	11	10
B. Bound Tests												
B1. Real GDP growth	15	16	16	15	12	11	11	11	11	10	10	9
B2. Primary balance	15	15	13	13	10	10	10	9	9	9	9	8
B3. Exports	15	15	14	14	11	10	10	10	10	12	11	10
B4. Other flows 3/	15	15	14	13	11	10	10	9	10	10	10	9
B6. One-time 30 percent nominal depreciation	15	18	17	15	12	11	11	11	11	9	9	8
B6. Combination of B1-B5	15	16	18	16	13	12	12	11	13	11	11	10
C. Tailored Tests												
C1. Combined contingent liabilities	15	15	14	13	10	10	10	9	9	9	9	8
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	15	17	16	15	12	10	10	9	10	10	9	8
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Niger: Sensitivity Analysis for Key Indicators of Public Debt, 2020–31

	Projections											
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of Debt-to-GDP Ratio												
Baseline	**37**	**35**	**32**	**31**	**30**	**29**	**29**	**29**	**29**	**29**	**29**	**29**
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2018-2038 1/	37	37	37	37	38	38	39	39	40	41	42	43
B. Bound Tests												
B1. Real GDP growth	37	38	43	44	46	47	49	51	53	55	57	59
B2. Primary balance	37	38	37	36	35	34	33	33	33	32	32	32
B3. Exports	37	37	40	39	37	36	36	35	35	35	34	34
B4. Other flows 2/	37	39	36	35	34	33	33	33	32	32	32	32
B6. One-time 30 percent nominal depreciation	37	39	34	32	30	28	27	26	25	24	23	23
B6. Combination of B1-B5	37	37	36	36	35	34	34	34	34	34	34	35
C. Tailored Tests												
C1. Combined contingent liabilities	37	41	37	36	35	34	33	33	33	32	32	32
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	37	38	40	44	47	50	53	55	58	60	62	65
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	**55**	**55**	**55**	**55**	**55**	**55**	**55**	**55**	**55**	**55**	**55**	**55**
PV of Debt-to-Revenue Ratio												
Baseline	196	187	176	174	168	160	159	158	157	156	155	155
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2018-2038 1/	196	195	199	203	203	202	204	207	210	213	215	218
B. Bound Tests												
B1. Real GDP growth	196	199	222	233	239	241	251	261	271	280	287	296
B2. Primary balance	196	202	207	202	193	183	180	178	176	174	171	170
B3. Exports	196	199	219	215	206	196	193	191	189	185	180	178
B4. Other flows 2/	196	209	199	196	188	180	177	176	174	171	168	167
B6. One-time 30 percent nominal depreciation	196	216	194	183	170	156	149	143	137	131	126	122
B6. Combination of B1-B5	196	197	197	195	190	183	182	182	182	181	180	180
C. Tailored Tests												
C1. Combined contingent liabilities	196	221	206	202	193	183	180	178	176	174	171	170
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	196	217	237	265	276	280	289	297	308	319	328	338
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio												
Baseline	45	42	47	48	47	45	45	42	43	43	44	45
A. Alternative Scenarios												
A1. Key variables at their historical averages in 2018-2038 1/	45	42	52	57	58	59	60	58	60	61	63	64
B. Bound Tests												
B1. Real GDP growth	45	44	56	65	68	71	75	75	79	82	85	88
B2. Primary balance	45	42	54	62	58	55	53	48	48	48	48	48
B3. Exports	45	42	47	50	48	46	46	42	44	45	46	47
B4. Other flows 2/	45	42	47	49	47	46	46	42	44	44	45	46
B6. One-time 30 percent nominal depreciation	45	41	48	48	47	45	45	41	42	42	43	43
B6. Combination of B1-B5	45	41	49	56	55	55	55	52	54	54	55	56
C. Tailored Tests												
C1. Combined contingent liabilities	45	42	62	61	59	54	52	48	47	47	47	47
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	45	46	55	72	80	85	90	88	92	94	97	100
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
2/ Includes official and private transfers and FDI.